BEFORE THE NATIONAL COMPANY LAW TRIBUNAL

COURT NO. V, NEW DELHI

Company Petition No. CP (CAA)-61 (PB)/2020

CONNECTED WITH CA (CAA)-24 (PB)/2020

IN THE MATTER OF SECTIONS 230-232 OF THE COMPANIES ACT, 2013

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Arrangements) Rules, 2016.

In the matter of Scheme of Amalgamation

OF

HABITAT ROYALE LAND INVESTMENTS PRIVATE LIMITED

(Transferor Company/ Petitioner Company No. 1)

WITH

JAIN FLORICULTURE LIMITED

(Transferee Company/ Petitioner Company No. 2)

CORAM:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

SHRI RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

Order Pronounced on: 26.07.2022

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For the Applicant: Adv. Rajeev K. Goel & Adv. Kartikeya Goel

For the RD/OL: Adv. Shakari Mishra

For the OL: Adv. Hemlata Rawat and Adv. Aayushmaan Vatsyayana

MEMO OF PARTIES

HABITAT ROYALE LAND INVESTMENTS PRIVATE LIMITED

CIN: U70101DL2004PTC130617

PAN: AAB CH 4890 B

Registered Office at 606, PP City Centre,

Road No. 44, Pitampura, Delhi – 110034

E-mail id: sunnykhinda@gmail.com

... Transferor Company/Petitioner Company No. 1

JAIN FLORICULTURE LIMITED

CIN: U01122DL1995PLC254571

PAN: AAB CJ 7970 R

Registered Office at 606, PP City Centre,

Road No. 44, Pitampura, Delhi – 110034

E-mail id: sunnykhinda@gmail.com

... Transferee Company/Petitioner Company No. 2

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ORDER

PER: RAHUL BHATNAGAR, MEMBER (TECHNICAL)

1. This petition has been filed by the Petitioner Company under Sections 230 and 232 of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation of Transferor Company into Transferee Company.

2. A perusal of the petition discloses that initially the First Motion joint application was filed before this Tribunal vide CA (CAA)-24(PB)2020 and based on such application, moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, wherein the meetings of the unsecured creditor of the Transferor Company and Transferee Company was dispensed with and the meeting of the Shareholders of the Transferor Company and the Transferee Company were convened, vide order dated 05.06.2020(date of pronouncement) read with Order dated 11.06.2020. None of the petitioner companies had any Secured Creditor.

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3. Thereafter 2nd motion petition was filed, vide CP(CAA)-61 (PB)/2020, within prescribed time limit and vide order dated 23.09.2020, the Petitioners were directed to carry out publication in the newspaper, "Business Standard" (English, Hindi Delhi Edition) and in addition, notices were directed to be served on to the Central Government through the Office of Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Registrar of Companies, NCT of Delhi and Haryana, the Income Tax Department, and Official Liquidator, New Delhi.

4. It is seen from the records that the Petitioners have filed an affidavit dated 21.10.2020 affirming compliance of the order passed by the tribunal dated 23.09.2020. A perusal of the affidavit discloses that the Petitioners have affected the newspaper publication as directed in one issue of the 'Financial Express" (English Edition) and "Jansatta" (Hindi Edition) on 12.10.2020. Further, the Petitioners have also affirmed that the copy of petition has been duly served upon the Registrar of Companies, Reginal Director, Northern Region and Income Tax Department, Official Liquidator, Reserve Bank of India, in compliance of the order and in proof of the same

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acknowledgment from the respective offices have also been placed on record.

5. The Petitioner companies, vide affidavit dated 26.10.2020, confirmed that neither the Petitioner companies nor their Legal Counsel has received any objection/representation from any person against the petition.

6. The Regional Director filed its representation dated 06.09.2021, averring:

   a. The scheme of amalgamation/arrangement as enclosed with the petition partakes merger of the transferor company namely Habitat Royale Land Investments Private Limited with the transferee company namely Jain Floriculture Limited and also to buy back of 1,55,000 no. of equity shares of Rs. 10 each at a price of Rs. 513.14 per share of the Transferee Company as stated in para-1.4(f) of the scheme. It is pertinent to submit that buy back of shares is stipulated under section 68 of the Companies Act, 2013 which fall under the domain of Board of Directors and shareholders of the Company and does not fall under the ambit of the Hon'ble NCLT, hence the Hon'ble Tribunal may kindly direct the Petitioner Companies to modify

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the scheme by deleting such clause from the scheme.

b. To arrive at the exchange ratio of 3546:1000, the company has obtained share valuation report from Sandeep Kumar Aggarwal, Registered Valuer having registration no. IBBI/RV/06/2019/10705 as replied by the petitioner companies. On perusal of the said valuation report of shares made by the Registered valuer, it is found that he has followed "Net Asset Value Method" to arrive at the share valuation and has computed the value of share of the transferee company as Rs. 513.14 per share by considering the financial statement as on 30.09.2019 of the petitioner companies. On examination of the financial statement filed by the petitioner transferee company, it is found that the total net assets of the said transferee company has been shown as Rs. 41,37,99,602/- which constitutes long term advances of Rs. 15,16,19,647/- (includes Rs.7,24,50,000 as loan to the whole time directors and capital advances-other Rs.6,65,22,184) and non-current investment of Rs. 25,12,50,000/- i.e. Investment made by the company in the equity share capital of a Private limited company namely Aries Travels Private Limited (hold 50% of its

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total paid-up capital). On perusal of the financial statement of said investee company namely Aries Travels Private Limited, it is found that the total net worth of such investee company is Rs. 8,74,34,393/- as on 31.03.2018 and also it is a loss making company and also the said investee company has not filed its financial statements for the financial year ended on 31.03.2019 and 31.03.2020 which are due for filing. From the above it is not beyond doubt that the net worth of the investee company has been substantially eroded (since the portion of net worth by following Net Asset Method of valuation of shares is Rs. 4,37,17,197/- only i.e. 50% of total net worth as on 31.03.2018, (which present Net Worth is not known due to non-filing of latest Financial Statement). The valuer has not considered such erosion in the value of investment while computing the net worth of the company. From the above, it is to submit that the value of the shares of the transferee company as computed by the registered valuer appears to be not fair or reasonable. If the transferee company will Buy-back its shares at the price of Rs. 513.14 per share as stated in the scheme, the transferee company will become a shell company

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since its entire net worth may be eroded.

c. In view of the above, it is prayed before the Hon'ble Tribunal to look into the matter and may direct valuation of shares of the petitioner transferee company through some other Registered valuer preferably from the panel of the Official Liquidator for recommending fair exchange ratio of the scheme to protect the interest of all stake holders involved in the scheme.

7. The petitioners have filed their reply dated 18.10.2021 to the objection raised by the Regional Director and has asserted that:

a. The Learned Official Liquidator, New Delhi has not made any objection/observation against the Scheme of Arrangement.

b. With respect to the observation of the Learned ROC, the Petitioner companies made the following submissions:

- Petitioners hereby undertake and confirm that the Transferee Company will make the requisite compliances with the RBI Guidelines and other applicable provisions, if any, to the extent required to give effect to the present Scheme of Arrangement.
- As provided in the Scheme of Arrangement, before

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making any payment to any shareholder against the proposed reduction of share capital, the Transferee Company will adjust any loan or other dues which any shareholder is owing to the Company. The Transferee Company will make the balance payment to such shareholder(s). Any such adjustment of any loan/other dues against the payment to be made to the shareholders, shall be effective discharge of such liability by the concerned Shareholder.

- Petitioners hereby confirm and undertake that the Transferee Company will raise necessary funds to give effect to the present Scheme of Arrangement.

c. With respect to the observation of the Learned RD, the Petitioner companies made the following submissions:

- The present Scheme of Arrangement is framed in terms of the provisions of sections 230, 232 and 66 of the Companies Act, 2013, and other applicable provisions, if any. The Scheme provides for Amalgamation of Habitat Royale Land Investments Pvt. Ltd with Jain Floriculture Ltd; Reduction of Capital of Jain Floriculture Ltd by way of buy-back of Equity Shares by the

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Company from its shareholders, on a proportionate basis; and other matters connected with the aforesaid Amalgamation and Reduction of Capital. Section 66 provides that a company can reduce its capital in any manner. In fact, every buy-back of shares is a reduction in share capital which may be affected under the provisions of section 66 with the approval of the Hon'ble Tribunal; or under the provisions of section 68 without the approval of the Hon'ble Tribunal.

- The provisions relating to the buy-back of shares without the approval of the High Court/NCLT was first introduced by the Companies (Amendment) Act, 1999, by inserting sections 77A, 77AA and 77AAA in the Companies Act, 1956. Prior to such amendment in the Companies Act, 1956, every buy-back of shares had to be implemented by way of reduction of capital under the provisions of Sections 100-104 of the Companies Act, 1956. In the present case, the Transferee Company is proposing to reduce its share capital by way of buy-back of shares under the provisions of section 66 of the Companies Act, 2013, which is perfectly in order.
- The Hon'ble National Company Law Appellate Tribunal has held

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that under the provisions of section 66 of the Companies Act, 2013, a company is free to reduce its share capital in any manner, it deems fit.

- With respect to the Valuation of Shares, it is submitted that the IBBI Registered Valuer has prepared the Report on Valuation of Shares and Share Exchange Ratio. The Registered Valuer has made proper disclosures with regard to the valuation methodologies, etc. As pointed out by the learned RD, Share Valuation is made on the basis of Net Asset Value Method. The investment of Rs. 25,12,50,000 made by the Transferee Company in the equity shares of Aries Travels Pvt. Ltd (constituting 50% of Aries paid up capital) was taken at the book value. Aries Travels Pvt. Ltd. owns a piece of land and the Transferee Company has obtained a valuation report for the aforesaid land.

d. Petitioners confirm that there is no diminution in the value of the aforesaid land and hence there is no permanent diminution in the value of investment made by the Transferee Company in the equity shares of Aries Travels Pvt Ltd. Hence, the Valuation of Shares of the Transferee Company calculated on the basis of

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Net Assets Value is absolutely fair and reasonable.

e. Both the Transferor Company and the Transferee Company are family-owned Group Companies under common management and control. The Transferee Company is a subsidiary of the Transferor Company. Around 96.74% of the total paid-up share capital of the Transferee Company is held by the Transferor Company which will be cancelled on the implementation of the present Scheme of Arrangement. Entire Share Capital of the Transferor Company; and the balance capital of the Transferee Company is held by the Promoters and their nominees only. None of these Companies has any secured creditor or any third-party loan. Hence, no public interest is involved in the Valuation of Shares or the proposed Share exchange ratio. Since all the Shareholders are promoters/directors, there cannot be any malafide intention to manipulate the share exchange ratio in favour of any specific group of shareholders to the detriment of other shareholders.

f. The Board of Directors and the Shareholders have already approved the proposed Scheme of Arrangement including the Valuation of Shares as well as the proposed Share Exchange

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Ratio. Hence, the regional Director has no locus standi to raise any objection on the valuation of Shares or the proposed Share Exchange Ratio.

g. The Hon'ble Supreme Court as well as various High Courts and this Hon'ble Tribunal, in various cases have held that the Valuation report and the Share Exchange Ratio once approved by the Shareholders, cannot be challenged merely on the ground that a better valuation may be made by an alternate method.

h. The Transferee Company is proposing to reduce its post-merger issued and paid-up share capital by way of buy-back of 1,55,000 Equity Shares of Rs. 10 each at a buy-back price of Rs. 513.14 per share from its shareholders, on a proportionate basis. The maximum out flow of funds on account of such buy-back will be Rs. 7,95,36,700. As pointed out by the Learned RD himself, the total net assets of the Transferee Company is Rs. 341,37,99,602. Even after the proposed buy-back, the Transferee Company will have a net-assets of Rs. 33,42,62,902. Hence, the observation of the Learned Regional Director that post buy-back, the Transferee Company will become a shell

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company is completely misconceived notion.

8. The Regional Director, Northern Region, New Delhi has filed its rejoinder to the Affidavit dated 14.12.2021 and has submitted that:

   a. As regards buy-back of share capital, the contention of the Petitioner Companies is that the proposed reduction of share-capital of the Transferee Company is by way of Buy-Back of shares under the provisions of section 66 of the Companies Act, 2013 which is not convincing since Buy-Back of shares is stipulated under section 68 of the Act (i.e. Power of a company to purchase its own securities), which falls under the domain of Board of Directors and Shareholders of the company and having no bearing upon section 66 of the Act being it is an independent legislation. Also there is no stipulation under the Companies Act, 2013 provides that the matter falls under the provisions of section 68 of the Act will covered under section 66 of the Act. Further the Petitioner Companies have cited the order of the Hon'ble NCLAT in the matter of PIYUSH DILIPBHAI SHAH & OTHERS VS. SYNGENTA INDIA LIMITED, in Company Appeal (AT) No. 208

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of 2020 wherein it is observed that nowhere in the said order the Hon'ble NCLAT has stated about inclusion of the matter falling under provisions of section 68 of the Act are covered under section 66 of the Act.

b. In response to the reply submitted by the Petitioner Companies in para-8(b), it is to submit that the Petitioner Companies have emphasised upon the net worth of the investee company namely ARIES TRAVELS PRIVATE LIMITED by stating in the said reply that "there is no diminution in the value of aforesaid land and hence there is no permanent diminution in the value of investment made by the Transferee Company in the equity shares of ARIES TRAVELS PRIVATE LIMITED." In this regard, it is to submit that the said Investee Company has not filed its balance sheet after financial year ended on 31.03.2018. On perusal of the latest balance sheet as at 31.03.2018 it is found that the said Investee Company have tangible assets shows of Rs. 4,50,17,336.93/- which includes Land of Rs. 34,19,000/- and Building of Rs. 3,91,81,703/- against which the total investment of the Transferee Company stood at Rs.

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25,12,50,000/- as on 31.03.2020. The Petitioner Companies have not justified as how its investment of Rs. 25,12,50,000/- will liquidate such tangible assets since no diminution in the value of investment has been recognised by the valuer of shares and also the Petitioner Companies in the present reply.

c. It is submitted that the net worth of the Company as stated above has been substantially covered under the investment made with ARIES TRAVELS PRIVATE LIMITED of Rs. 25,12,50,000/-, Capital Advances of Rs. 6,65,22,184/- and Loan to employee of Rs. 7,24,50,000/- as at 31.03.2020, the relevant extracts of the Balance sheet and schedules of Non-current Investments and Long-term Loans and Advances as filed by the Petitioner Transferee Company are enclosed herewith and marked as Annexure-A. The Petition as well as reply is silent about the source of funds to be collected by the Petitioner Transferee Company to meet the liability of Rs. 7,95,36,700/- for buy-back of shares. In view of the above submission in respect of the value of investment of said Petitioner Transferee Company, the Hon'ble Tribunal may direct the Petitioner Companies to justify the source of funds

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to be collected by them to meet the liability of buy-back and also the fairness of the valuation of shares of the investee company for consideration of the scheme.

9. The petitioners have filed their reply/affidavit dated 22.04.2022 in response to the Rejoinder/Affidavit filed by the Regional Director, Ministry of Corporate Affairs and have reiterated that the proposal of Reduction of Share Capital by way of buy-back of shares is very well covered under the provisions of Sections 230 & 232 read with Section 66 of the Act and the approval of the Scheme by this Hon'ble Tribunal is not going to adversely affect any person..

10. The Official Liquidator has filed its report on 16.10.2020, wherein no specific objection has been raised against the approval of the scheme. It is submitted in the report that the Official Liquidator has not received any complaint against the proposed scheme from any person/party interested in the scheme in any manner and that the affairs of the transferor company does not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act, 1956/the Companies

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Act, 2013, whichever is applicable.

11. The Income Tax Department has filed its report on 14.12.2020, wherein in respect of all petitioner companies, no specific objection has been raised against the approval of the scheme.

12. Reserve Bank of India has not filed its report against the approval of the scheme.

13. In the petition it has been affirmed that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under the provisions of the Companies Act, 1956 are pending against the companies.

14. Certificates of respective statutory auditors of the companies have been placed on record to the effect that accounting treatment proposed in the Scheme of Amalgamation is in conformity with the accounting standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 and Generally Accepted Accounting Principles in India (Indian GAAP), as the case may be.

15. In view of the foregoing, upon considering the approval accorded by the members and creditors of the petitioner companies to the proposed scheme, as well as the objections filed by the regional

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director, northern region, the official liquidator, and the income tax department and being satisfied in view of affidavit of undertaking filed by the petitioner companies, there appears to be no impediment in sanctioning the present scheme. Consequently, sanction is hereby granted to the scheme under section 230 & 232 of the Companies Act, 2013. The companies however remain bound to comply with the statutory requirements in accordance with law.

16. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme, will not come in the way of action being taken, albeit, in accordance with law, against any of the concerned person, director and officials of the petitioners.

17. In compliance with requirement of section 230(7) of the Companies Act, 2013, the transferee company herein shall until the scheme is fully implemented, file with the Registrar of Companies, the statement in Form No. CAA.8 along with such fees as specified in the Companies (registration offices and fees) Rules, 2014 within two hundred and ten days from the end of

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each financial years.

18. While approving the scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes, GST, or any other charges, if any, and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law.

19. **THIS TRIBUNAL DO FURTHER ORDER(S):**

a) That the transferor company shall stand dissolved without following the process of winding up; and

b) That all the property, rights and powers of the transferor company, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Companies Act, 2013, be transferred to and vets in the transferee company.

c) That all the liabilities and duties of the transferor company, be transferred without further act or deed, to the transferee company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company; and

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d) That all proceeding now pending by or against the transferor company, be continued by or against the transferee company; and

e) That all the employees of all the transferor company in service, on the date immediately preceding the date on which the scheme takes effect, i.e., the effective date, shall become the employees of the transferee company on such date without any break or interruption in services and upon terms and conditions not less favorable than those subsisting in the respective transferor company on the said date.

f) That petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered all the transferor company shall stand dissolved and the Registrar of Company shall place all documents relating to all the transferor company registered with him on the file kept by him in relation to the transferee company and the files relating to the petitioner companies shall be consolidated accordingly; and

g) That any person interested shall be at liberty to apply to the

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tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

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(RAHUL BHATNAGAR)

MEMBER (Technical)

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(P. S. N. PRASAD)

MEMBER (Judicial)